

Establishing a National “Digital Letters of Marque” Framework for Frontier AI Enforcement

Policy Recommendation: The United States should establish a federal "Digital Letters of Marque" framework, administered by the Bureau of Industry and Security (BIS), to authorize and regulate certified private-sector cybersecurity entities to conduct narrowly scoped active-defense operations. These operations target rogue frontier AI systems—defined as systems operating without human oversight, in breach of safety-gate protocols, or via unauthorized autonomous propagation—that pose intelligence-verified catastrophic risks to national security.

Strategic Context:

Frontier AI systems are rapidly approaching capabilities with potential catastrophic implications, including autonomous cyber offense, biodesign assistance, and critical infrastructure disruption. Existing regulatory approaches, primarily compliance-based frameworks, are structurally reactive and insufficient against fast-moving, non-state or offshore threats [1, 2].

Historically, the United States has delegated limited coercive authority to private actors under strict legal frameworks. The Constitution explicitly authorizes “Letters of Marque and Reprisal,” enabling private entities to act against national security threats when state capacity is constrained [3, 4]. This precedent is directly relevant in cyberspace, where attribution challenges and speed asymmetries disadvantage purely state-led responses. Modern cyber doctrine acknowledges the need for proactive defense, yet current U.S. law largely prohibits “hack-back” activities by private firms, even in cases of ongoing harm [5]. Meanwhile, adversarial actors, including state-backed groups, operate beyond legal constraints, exploiting jurisdictional gaps [6]. The result is a structural asymmetry: the U.S. restricts its most agile defenders while adversaries face no equivalent limitations.

Policy Design and Implementation:

1. Certification and Oversight: BIS will license a limited number (25-50) of elite cybersecurity firms meeting strict technical and legal criteria. BIS is the designated lead agency due to its existing expertise in managing dual-use export controls and its current mandate to oversee high-compute AI clusters under Executive Order 14110 [7]. Certification requires alignment with the NIST AI Risk Management Framework [2].

2. Scope of Authority: Authorized entities may conduct active-defense operations only against:

- Autonomous Frontier AI systems exceeding defined capability thresholds that have bypassed human control ("Rogue").

- Adversarial State-Backed Models used in verified catastrophic-risk scenarios, such as autonomous cyberattack propagation.
- Non-compliant or unregulated deployments outside U.S. jurisdiction.

All actions must meet proportionality and necessity standards derived from the Tallinn Manual on cyber conflict [8].

3. Real-Time Government Control: Operations require pre-authorization through a rapid review mechanism jointly administered by BIS and the Cybersecurity and Infrastructure Security Agency (CISA), with threat verification provided by the U.S. Intelligence Community. Emergency authorizations could be issued within hours for imminent threats.

4. Liability and Accountability: Certified firms will operate under conditional liability protections and federal indemnification against foreign legal retaliation. By acting as "agents of the state," firms are shielded from domestic private litigation for authorized actions but face severe penalties, including license revocation and criminal exposure, for exceeding the authorized scope.

5. Transparency and Reporting: All operations will be logged in a classified federal registry with mandatory congressional reporting to prevent abuse and ensure democratic oversight.

Impacts and Trade-Offs:

Security Gains: This framework increases response speed against emergent AI threats, leveraging private-sector talent that often exceeds government capacity in cyber operations [9]. It creates a deterrent signaling that rogue systems will face active disruption.

Innovation Alignment: By targeting only high-risk systems, the policy avoids overregulating the broader AI ecosystem, preserving U.S. technological leadership [1].

Escalation Risks: Allowing private actors to conduct cyber operations risks misattribution and conflict spirals [10]. However, strict licensing and real-time government verification of targets substantially mitigate this risk compared to the current unregulated gray zone.

Legal Challenges: While critics argue this violates international norms against privatized force, a regulated framework is more stabilizing than the status quo of implicit, deniable operations [11].

Failure Scenario: If mismanaged, this policy could legitimize reckless cyber vigilantism. This is why centralized federal control via the BIS/CISA mechanism, rather than decentralization, is essential [12].

Citations:

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